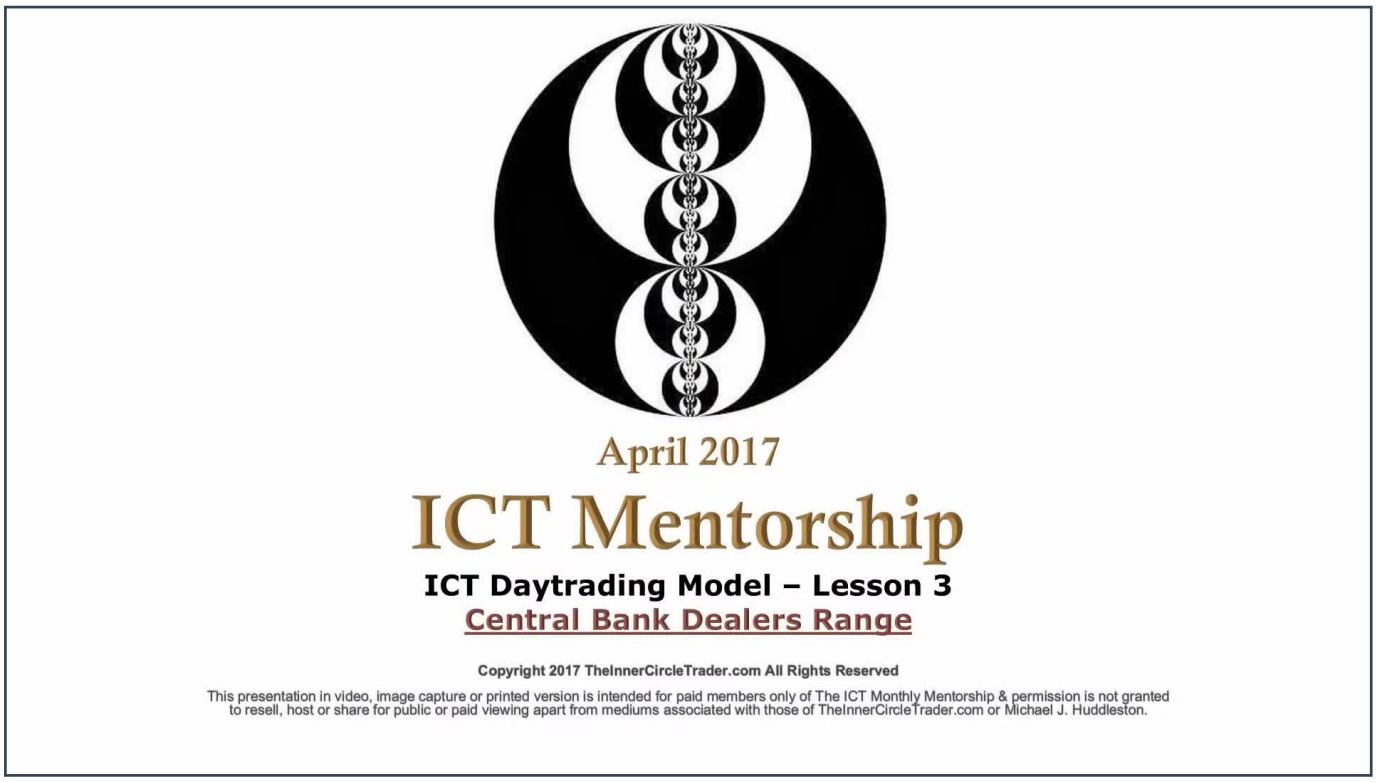
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 08 - CENTRAL BANK DEALERS RANGE



This lesson is part of the April 2017 ICT Mentorship Core Content, focusing on the ICT Day Trading Model, specifically the Central Bank Dealers Range (CBDR).

- It is assumed that you have gone through the YouTube tutorial on CBDR, but this lesson will cover the essential gleanings from it.

- A foundational understanding of standard deviations is required for this concept.

- The CBDR identifies a specific time of day, acting as a central focal point or range, from which price deviations above and below can be measured.

DEFINING STANDARD DEVIATIONS FROM THE CBDR

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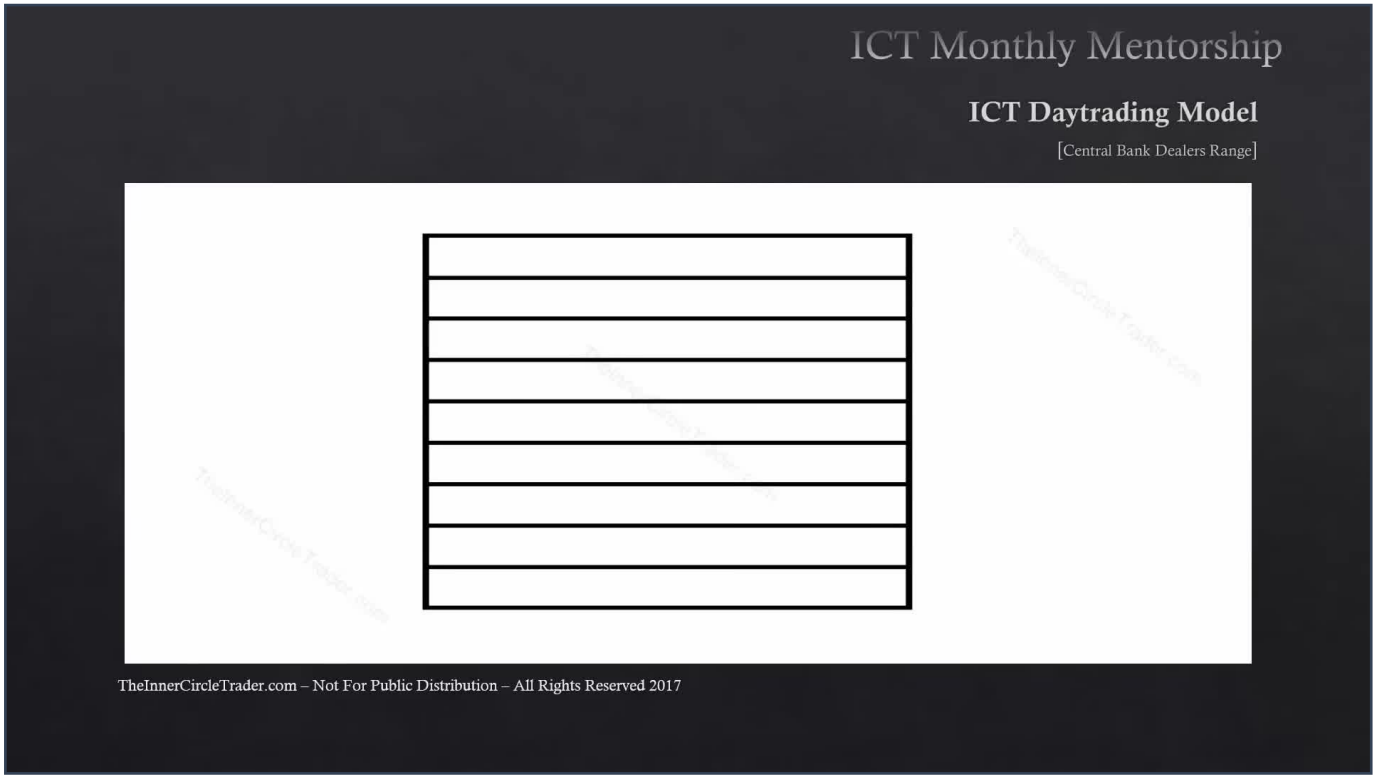

The Central Bank Dealers Range (CBDR) is conceived as a predefined high and low, forming an important range in price.

- The measurement of this range, from high to low in Pips, can be replicated in the form of standard deviations.

- One standard deviation above the CBDR high is equivalent to adding the CBDR's total pip range to its high.

- One standard deviation below the CBDR low is equivalent to subtracting the CBDR's total pip range from its low.

- This replication process extends to standard deviations one, two, three, and four, allowing for projections based on the initial CBDR range.

IDEAL PRICE MOVEMENT WITHIN STANDARD DEVIATIONS

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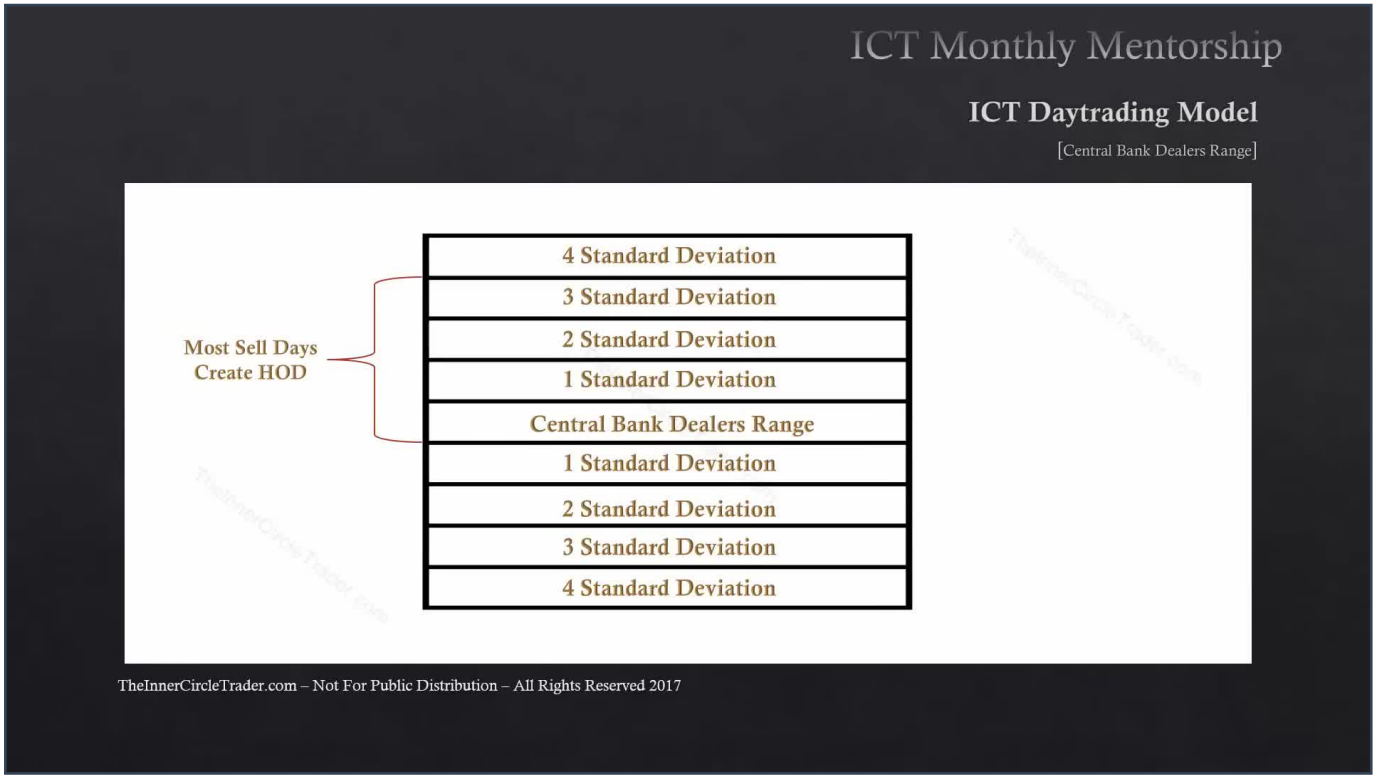

Understanding typical price behavior relative to CBDR standard deviations is crucial for anticipating market turns.

- Most sell days will typically form the high of the day (HOD) from the Central Bank Dealers Range up to the third standard deviation.

- Most buy days will typically form the low of the day (LOD) from the Central Bank Dealers Range down to the third standard deviation.

- Ideally, sell days create the HOD no more than two standard deviations above the CBDR, often just one standard deviation.

- Ideally, buy days create the LOD no less than two standard deviations below the CBDR, often just one standard deviation.

- A four standard deviation move (above for HOD, below for LOD) is typically seen on the heels of a very high-impact news event for the London session, or to create a New York session Market Reversal Profile.

KEY PARAMETERS FOR CENTRAL BANK DEALERS RANGE

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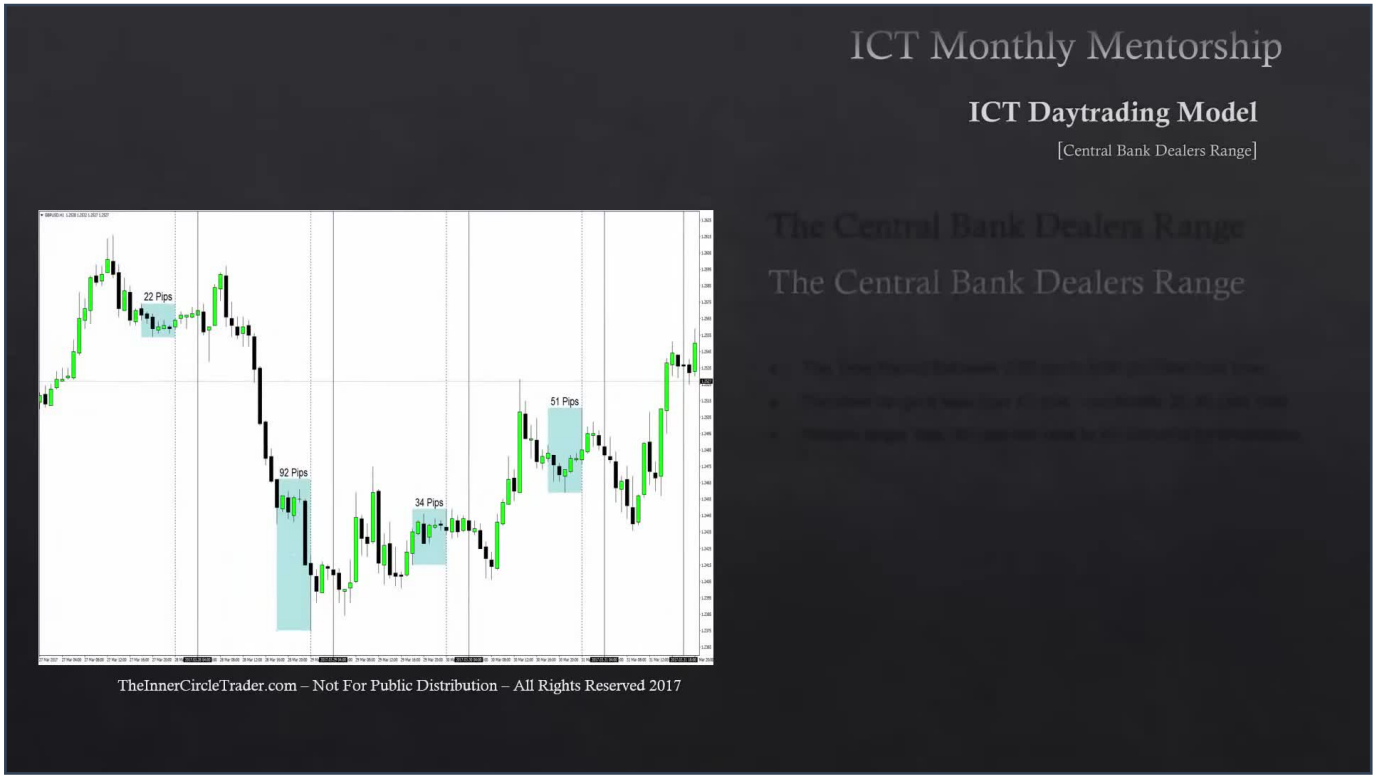


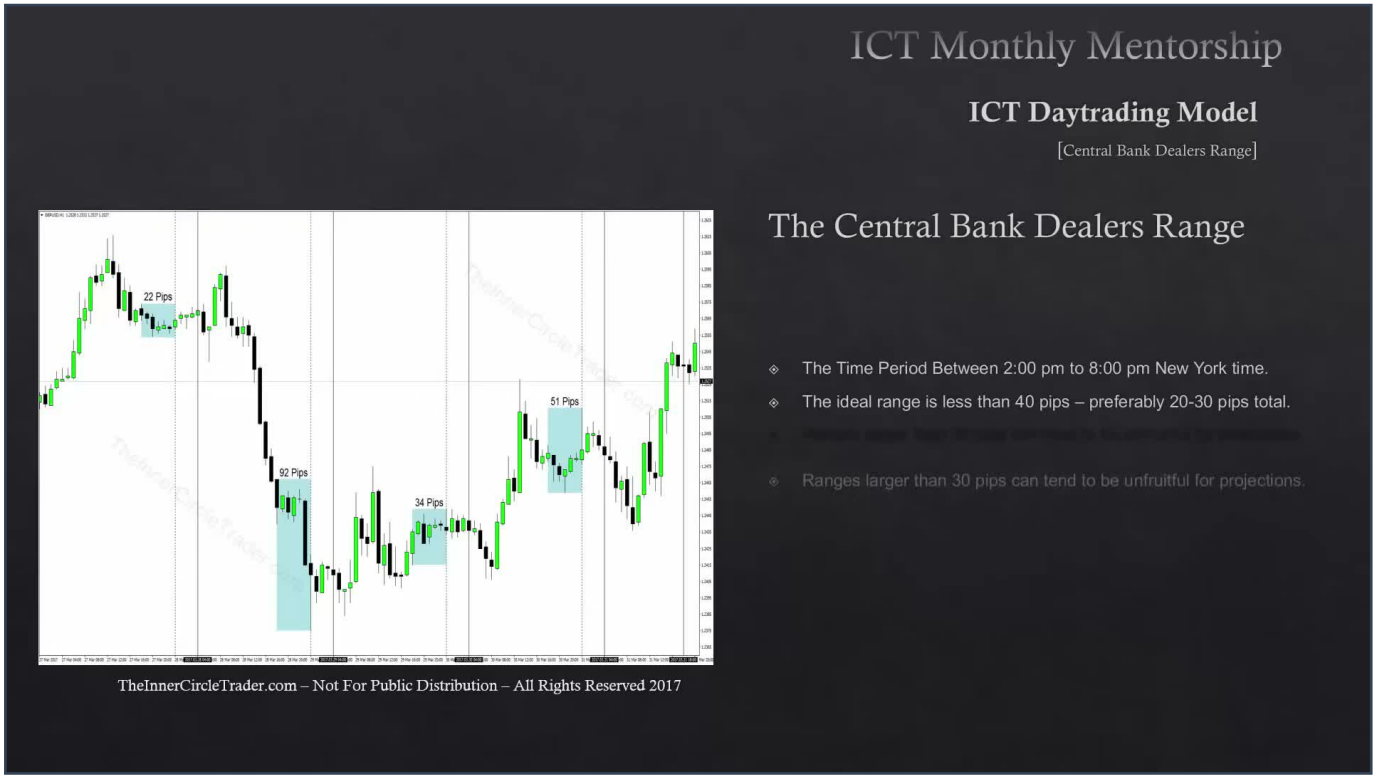
The precise identification of the Central Bank Dealers Range relies on specific time and size parameters.

- The time period that frames the CBDR is 2 PM to 8 PM New York time.

- Traders must determine how this New York time window appears on their local price charts and delineate it with vertical lines.

- The ideal range for the CBDR (highest high to lowest low within this window) should be less than 40 Pips.

- Preferably, the total range (high to low) should be no more than 20 to 30 Pips.



The effectiveness of CBDR projections is highly dependent on its size and how it is calibrated.

- If the range is larger than 30 Pips, it tends to be unfruitful for making accurate projections.

- The range in Pips can be calibrated in two ways:

  - Using the wicks (from the highest wick to the lowest wick).

- Alternatively, using the highest body and the lowest body (the highest closing or open price and the lowest close or open price) between 2 PM and 8 PM New York time.

The Central Bank Dealers Range serves a crucial role in day trading by assisting in the selection of daily turning points.

- For CBDR projections to be effective, a clear directional bias is necessary.

- The primary strength of the CBDR lies in aiding the selection of the low of the day (LOD) or high of the day (HOD).

- As day traders, the ability to anticipate the highest probable HOD or LOD is paramount, especially focusing on the London session.

- Not every trading day presents a high-probability setup; the CBDR helps identify those favorable days.

- By using the CBDR, traders can obtain a ballpark idea of where the HOD or LOD is most likely to form in London, particularly during bullish or bearish market conditions or one-shot one-kill weekly setups.

WICKS VERSUS BODIES IN CBDR MEASUREMENT

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The choice between using wicks or candle bodies for defining the CBDR range has implications for accuracy.

- While examples may initially show wicks, the preference is to use candle bodies predominantly.

- Wicks can show 'erroneous price' due to broker dealing spreads, leading to disparities in high and low prices across different platforms.

- Focusing on the bodies of the candles is believed to more accurately reflect the 'bulk of the trading' and align with smart money activity.

- Studying wicks can provide insight into retail activity, but analyzing candle bodies helps frame institutional accumulation and distribution ranges more clearly when using the CBDR.

CBDR APPLICATION - HIGH OF DAY EXAMPLE AND RANGE VIABILITY

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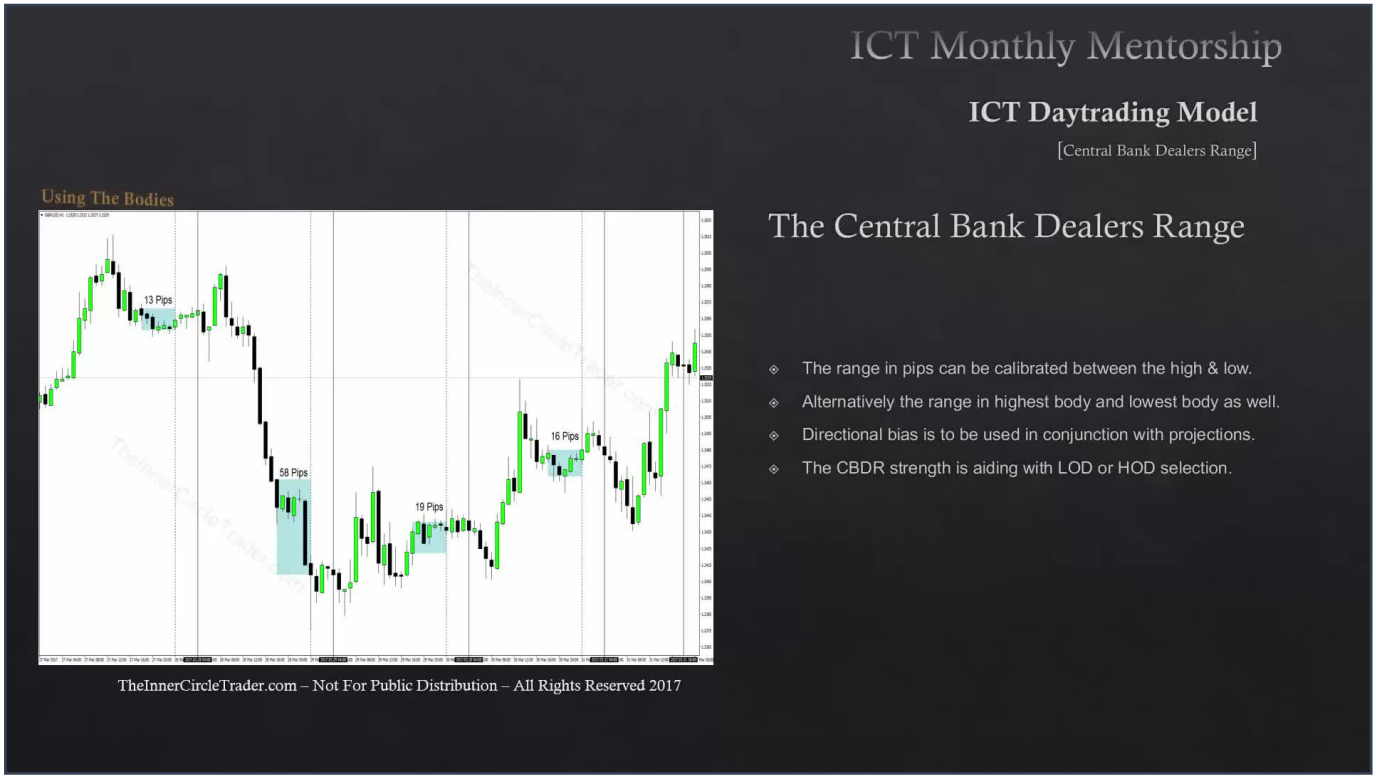

Examining practical applications of the CBDR reveals its predictive power for daily highs.

- In the first example, a 13-pip CBDR (using bodies) was replicated, and its two standard deviations projected upwards aligned with the London HOD.

- It's important to note that these projections provide a range to look for, not necessarily an exact pip target; price might slightly exceed or fall short.

- In the second example, a 58-pip CBDR was observed. This range is considered too large, as rules stipulate less than 40 Pips, ideally 20-30 Pips.

- Such an oversized CBDR makes it unfruitful for day trading projections, requiring traders to either scalp or wait for more ideal conditions.

- The ideal 20-30 pip range stems from the idea that a daily range (e.g., 100 Pips) often sees initial accumulation/distribution moves of about one-third of that range (around 33 Pips) from the opening price. This concept applies to 'Power of Three' scenarios where a small initial drop (20-30 Pips, ideally not over 40) is sought on bullish accumulation days.

CBDR APPLICATION - LOW OF DAY EXAMPLES

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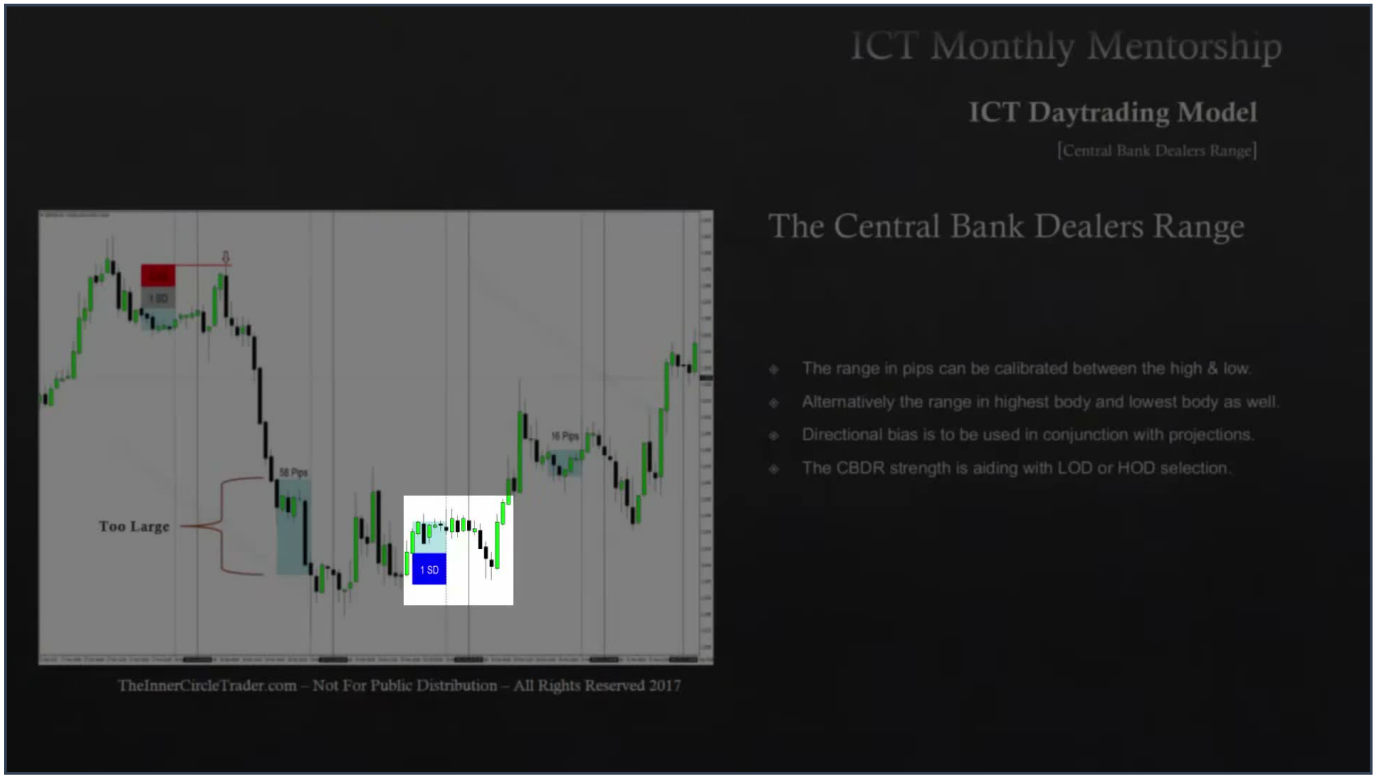
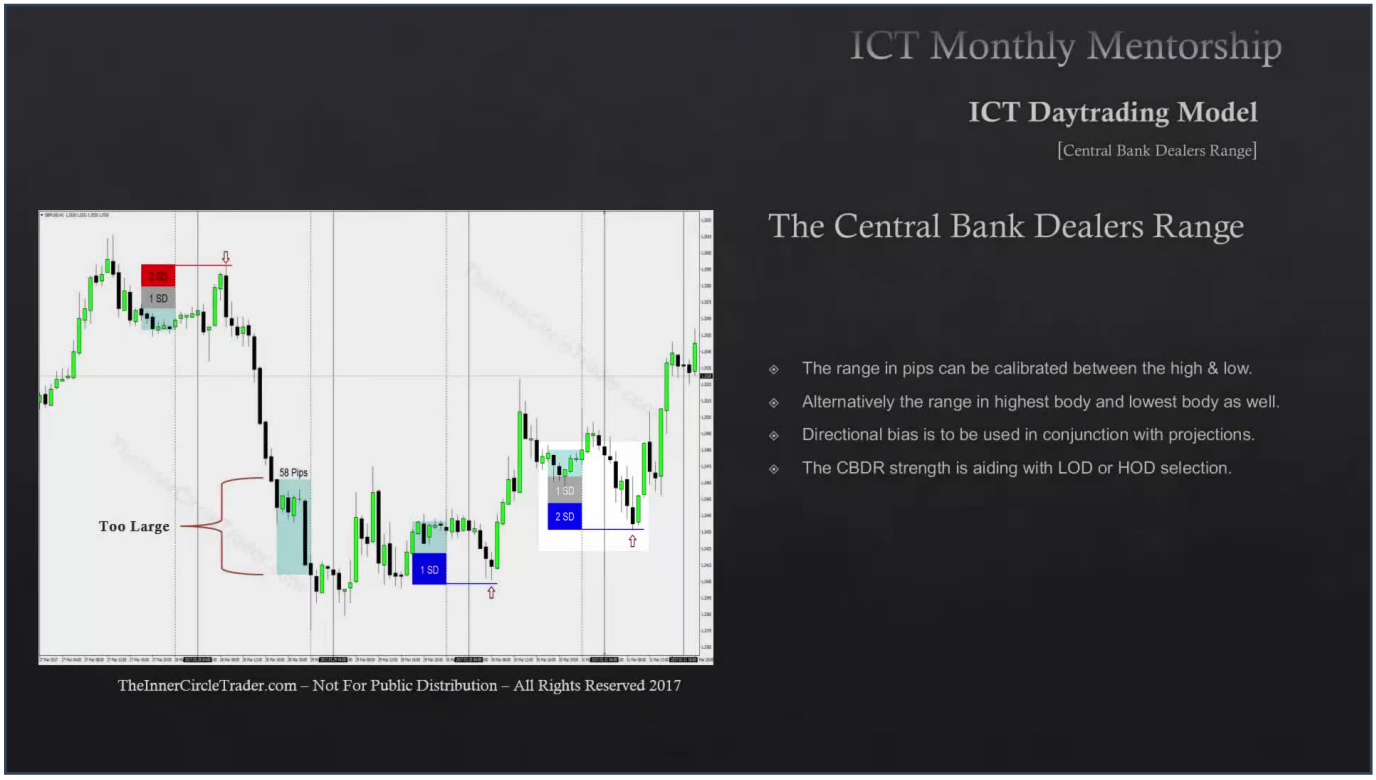


Further examples illustrate how the CBDR can precisely define the low of the day (LOD).

- In a subsequent example, a CBDR resulted in price trading down to within the first standard deviation below the range, creating the LOD, followed by an aggressive rally.

- In another instance, a CBDR projected two standard deviations below the range led price directly to the LOD, being off by only one pip, confirming the London LOD.

- These examples, though seemingly 'cherry picking' in hindsight, highlight the precision possible when applying the CBDR within a larger contextual bias.



The true power of the CBDR is realized when integrated with a comprehensive market bias.

- Traders must first establish a directional bias: is price likely to go higher or lower over the next few days, the current/next week, or considering seasonal tendencies?

- For instance, if a quarterly shift suggests unfolding bullish prices and un-met premium PD (Price Delivery) arrays, traders would look for buying scenarios in discount PD arrays.

- The PDA Array Matrix helps in building these bullish ideas.

- When the CBDR is used in conjunction with this bias and aligned with the London Open time of day, it helps narrow down ideal entry points.

- Similarly, if bearish (price at premium PD array, expecting a lower close week), one would look for 1-3 standard deviations higher on the CBDR.

- An ideal 20-30 pip CBDR, projected into London, provides a significant advantage for identifying the HOD or LOD.

- Combining CBDR with seasonal tendencies draws a clearer picture of institutional order flow and how ICT Price Action (IPTA) moves price.

- The next lesson will delve deeper into picking the high and low of the day using this information alongside the Asian range.